

Shift Your Perspective

WE RARELY QUESTION our own ideas. We fail to understand from first principles why we think the things we do.

A way to avoid bad ideas is to shift your perspective. Learning to see the world from a slightly different angle is a useful skill for any investor to have. Tilting your perspective can reveal bad ideas for what they are.

Here are a few of my favorites:

Earnings missed estimates

Every earnings season, some high-profile company will have a profit shortfall. “Earnings missed estimates,” is intoned by the TV pundits.

Morgan Housel corrects this error: “Earnings did not miss estimates, estimates missed earnings.” Earnings are what they are, the profits of corporate America. By definition, they cannot be wrong—only better or worse than expected.

On the other hand, the analyst community are who missed. It was *their* estimates of those earnings that were wrong.

Crash

Eddy Elfenbein manages the AdvisorShares Focused Equity ETF (CWS); it is based on an annual stock list he created which has beaten the S&P 500 by 102% over the last 17 years.

Whenever someone compares the present to some earlier market crash, he has the perfect perspective shifting rejoinder:

“This market reminds me a lot of 1987.”

“Really? You think the market will gain 35-fold over the next 37 years?”^{[109](#)}